1. Business Communication

1.1. Purposes of Communication

Effective communication

- The exchange of information and instructions between groups or people, with feedback.
- Key features –
  - Sender
  - Clear message
  - Appropriate medium
  - Receiver
  - Feedback
- Internal communication is between different people or groups within the organization
- External communication is when the communication occurs with outside parties – government, customers, and suppliers

Why is effective communication important?

- Higher staff motivation, labour productivity
- Improve in the number and quality of ideas generated by the staff
- Quicker decision making
- Quicker response to market changes
- Reduced risks of errors
- Effective coordination between departments

Adequate External Communication is important because:

- **Customers:** The employee can share updates on new products to customers, as well as safety info, special offers, and ask for feedback.
- **Suppliers:** Business needs to properly discuss orders, deliveries, discounts, and fix any mistakes.
- **Shareholders:** Firm is required to provide updates on meetings, payments, new directors, and financial reports, only if they are an incorporated business.

Factors Affecting Communication Improvement in a Given Situation

Factor	Description
Written Record of Messages	Having a written record of important messages ensures clarity and serves as proof that the message was sent and received.
Employee Participation	Two-way communication involving employees improves communication, such as discussing new policies before implementation.
Cost	Electronic media may have high initial costs but can be cost-effective; consider the time spent in meetings versus sending emails.
Speed	Electronic communication is fast, but sometimes meetings are necessary to allow for discussion and opinion sharing.
Amount of Information	Longer and more detailed messages are better conveyed through written communication rather than oral communication.
Using Multiple Methods	Using more than one communication method, such as a phone call followed by an official letter, ensures clarity and accuracy.
Size and Location of the Business	In large, multinational companies, electronic communication can be more efficient due to the difficulty in arranging regular meetings across different regions.
Content of the Message	The method of communication should vary depending on the message; for example, health and safety information may require different methods than changes in production methods.

Impact of Effective External Communication on Business Efficiency

Category	Description
Suppliers	Suppliers know which products to deliver and when, helping to prevent production delays.
Local Communities	If local communities are informed about business plans, like expansions, they are more likely to support them.
Creditors	Creditors know when to expect payment, which encourages them to offer credit.
Debtors	Debtors know when to pay, improving the business's cash flow.
Investors and Lenders	Investors and lenders feel more confident when the business regularly updates them on its performance.

Adequate Internal Communication is important because:

- **Employees:** To discuss their employment contract, training, pay raises, performance reviews, new schedules, and solving workplace issues together.
- **Managers:** It makes it easier for the organization to coordinate tasks, share reports, pass on decisions, and allow managers to share their ideas.

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Impact of Effective Internal Communication on Business Efficiency

Impact	Description
Boosts Employee Motivation and Productivity	Poor communication can lead to feelings of disconnection and isolation.
Generates More Ideas	Soliciting input from employees leads to better ideas and helps solve problems more effectively.
Speeds Up Decision-Making	Up-to-date information allows for faster and more accurate decisions.
Quick Response to Market Changes	Sharing consumer preferences and market changes quickly enables the business to adapt faster to changing market conditions.
Reduces Mistakes	Clear communication reduces misunderstandings, preventing errors such as producing the wrong products or setting incorrect prices.
Improves Department Coordination	Encouraging communication between departments helps them work together more effectively, ensuring all parts of the organization are aligned and working towards common goals.

1.2. Methods of communication

Spoken communication:

Conveying message by word of mouth.

- One-on-one conversations, interviews, meetings
- Allows two-way communication and feedback
- Improves worker motivation
- Message can be reinforced with body language
- May be ambiguous
- No written record
- Costly, time taking

Advantages and Disadvantages of Spoken Communication

Advantages	Disadvantages
It allows people to talk and give feedback to each other, which helps keep motivation high. Herzberg believed regular feedback motivates people effectively.	Some spoken messages can be unclear, and in a big group, people might feel shy to ask for more details.
Messages are received instantly, without any delay.	There might not be a written copy of the message, so it can't be checked later.
Records of who attended a meeting can be kept, proving who got the message.	It might not work well for complex or technical topics, which are better shared in writing.
If something isn't clear, the listener can ask questions right away.	Talking, especially one-on-one, can take a lot of time.
The sender can use body language to make the message stronger and clearer.	-

Written communication:

Any kind of message that utilizes written words to convey.

- Letters, memos, notices
- Can be referred to whenever needed
- Allows detailed data to be shared
- No immediate feedback

Advantages and Disadvantages of Written Communication

Advantages	Disadvantages
Written messages can be read multiple times, helping the receiver understand better.	Body language or non-verbal cues cannot be used to support the message.
It allows detailed information, like numbers and diagrams, to be shared.	Feedback cannot be given right away, so it takes longer to clear up misunderstandings.
It creates a permanent record, which can be useful for legal purposes (e.g., employment contracts).	There is proof the message was sent, but not that it was received or understood.

Electronic communication:

Conveying messages through the means of internet.

- Emails, website, blog, text messaging, voicemail and video messaging.
- Quick
- Written record (might not be if it is video related).
- Need workers to be trained
- Reduces social contact, interpersonal contact is lost
- Security issues
- Information overload

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Advantages and Disadvantages of Electronic Communication

Advantages	Disadvantages
Messages can be sent very quickly using electronic media, often in just a few seconds.	Employees may need training to use electronic communication, and younger employees are often better at it than older ones.
The internet allows global communication, reaching millions of people worldwide.	It reduces face-to-face interaction, which can make people feel isolated and miss social connections.
After paying for equipment and training, electronic communication is cheap. For example, SMS is cheaper than sending letters, and video calls save money on travel.	Employees might waste work time sending personal messages.
Feedback can be exchanged instantly with electronic communication.	Direct personal contact is lost, and body language cannot be used to support the message.
Managers can manage large or global businesses more easily, especially multinational companies.	Security and technical issues, like viruses, can be a problem, so backups are often needed.
Emails can serve as legal proof of contracts and transactions in most countries.	Too many messages, like emails, can cause information overload, leading to stress and important messages being overlooked.

Visual communication:

Displaying information and ideas to the receiver.

- Accompany oral or written
- Diagrams, pictures, whiteboards
- Increased impact, color and movements
- Useful during training, marketing

Advantages and Disadvantages of Visual Communication

Advantages	Disadvantages
It works well for people who are not fluent in the language, especially in international communication.	Creating visual content, such as training videos, can be expensive and take a lot of time.
Visuals like graphs, pictures, and diagrams make spoken messages more impactful and easier to understand.	It cannot replace written communication when detailed technical or financial data is needed.
Complex information, like an organizational chart, is easier to explain visually.	Visual communication does not include body language or other non-verbal cues.
Messages presented visually are often quicker to understand than long pages of text.	Dramatic visuals might distract the audience from the main message.

1.3. Channels of Communication

Formal Channel:

- Official communication channel that follows organizational hierarchy and established procedures (e.g., reports, meetings).

Benefits and Limitations of Formal Communication

Benefits	Limitations
It ensures information is clear and reduces misunderstandings.	It can take time due to approvals and documentation, delaying responses.
It creates a written record for future reference, useful for legal or business purposes.	It follows strict guidelines, limiting creativity and flexibility.
It ensures all employees receive the same message in a professional way.	It lacks personal touch and doesn't allow for quick feedback or clarification.

Informal Channel:

- Unofficial communication channel that allows interactions to take place between informal groups within the organization. (e.g., chats, socializing).

Benefits and Limitations of Informal Communication

Benefits	Limitations
It helps create a sense of belonging and strengthens relationships in the workplace.	Informal communication can take up work time and reduce productivity.
Management can check reactions to new ideas before making official announcements.	Gossip and rumors can cause insecurity and disrupt the workplace.
It encourages interaction between departments, leading to the exchange of ideas, improving coordination and collaboration.	It can lead to groups resisting decisions before they are officially communicated.

One-Way Communication:

- Sent in one direction. From sender to receiver, with no feedback expected.

Advantages	Disadvantages
Clarity: Messages are direct, minimizing misunderstandings.	No Feedback: The sender can't confirm if the message is understood.
Efficiency: Quick and straightforward, ideal for instructions or announcements.	Limited Engagement: Receiver may feel disconnected or ignored.
Control: Sender has full authority over the message.	Inflexibility: No room for adaptation based on audience input.
-	Authoritarian: Usually associated with autocracy.

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Two-Way Communication:

- Communication between two people or more including transmission of messages encouraging feedback.

Advantages	Disadvantages
Interactive: Encourages collaboration and better understanding.	Time-Consuming: Conversations take longer than just delivering a message.
Feedback Loop: Helps clarify doubts and adjust messages as needed.	Complexity: Can lead to miscommunication if not handled effectively.
Stronger Relationships: Builds trust and engagement between parties.	Dependence on Skills: Requires good listening and speaking abilities from both sides.

Vertical Communication

- Communication that flows up or down the organizational hierarchy (e.g., between managers and employees).

Advantages	Disadvantages
Clear Instructions: Ensures clarity of direction and expectations from top to bottom.	Slow Flow: Information may be delayed as it moves through multiple levels.
Structured Feedback: Provides a way for employees to report issues or suggestions to higher-ups.	Miscommunication: Can lead to distortion or filtering of messages as they pass through various layers
Authority: Strengthens the chain of command and control.	Top-Down Bias: May discourage open dialogue or employee feedback.
-	Possible Distortion: Too many intermediates in the chain , it might affect message's clarity.

Horizontal Communication:

- Communication between peers or colleagues at the same level in the organizational hierarchy.

Advantages	Disadvantages
Collaboration: Fosters teamwork and coordination between departments or teams.	Lack of Authority: May lack the formal backing to resolve issues or implement decisions.
Faster Exchange: Encourages quicker decision-making and information sharing.	Potential for Conflict: Can lead to disagreements without clear leadership direction.
Reduced Barriers: More informal and flexible, leading to a freer flow of ideas.	Inefficient in Large Teams: Coordination can be challenging without a structured approach.
-	Culture clash: Different departments might face trouble in understanding each other's culture, technical language, work flow, objectives and problems etc.

1.4. Communication Barrier:

- Reasons why communication can fail.

Possible Communication Barriers

Category	Description
Inappropriate Method	Using the wrong method, like explaining complex details over a phone, can lead to misunderstandings.
Forgetfulness	Long verbal messages might be forgotten; a written version is better.
Misleading or Incomplete Messages	Vague messages can be misinterpreted, like "send soon" meaning different things.
Technical Language	Using too much technical language can confuse the receiver, especially if it's not translated.
Information Overload	Too much information can be confusing and prevent understanding of important points.
Long Communication Channels	Messages through long chains can be slow and get distorted or changed.
Poor Attitudes	If the sender is not trusted, or if workers are unmotivated, communication will suffer.
Physical Reasons	Noisy environments and geographical distance can make communication difficult.

How To Overcome Communication Barriers

Best practice	Description
Clear and Precise Messages	Ensure the message is clear, precise, and adequately detailed to avoid misunderstandings.
Short Communication Channels	Keep the communication channel as short as possible to prevent delays and distortions.
Understanding Communication Channels	Make sure all involved parties understand the channels of communication being used.
Feedback Mechanism	Include feedback in the communication process to quickly identify and resolve any issues with receiving or understanding the message.
Establishing Trust	Build trust between senders and receivers by valuing and encouraging all staff contributions.
Appropriate Physical Conditions	Ensure the physical environment is suitable for messages to be received or heard, especially in oral communication.

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